

FUZZY BLANKETS

Many people know they're spending too much on their homes. They may even admit their homes make little sense as investments. But those are purely financial matters, and I suspect finances are beside the point. People buy homes because of an emotional need. Having a home of one's own is part of the American dream. Our home is our security, a fuzzy blanket for those too old for the real thing.

For many people, the emotional need to own a home borders on a fixation. I know. I'm one of them. It's easy to figure where it comes from. I can hear my mother now: "Buy a home as soon as you can. That way you build equity. Otherwise all you get is a bunch of rent receipts."

Mom got a lot of things right. For someone starting a career and struggling to get ahead, she may still be right. Many young people lack the self-discipline to save. Buying a home, in effect, forces them into a scheduled savings program. They're sure to get a piece of the action if another boom comes along. Perhaps most important, buying a home instills a sense of growing up. Pride of ownership helps many young people get serious about their lives for the first time.

But what propels us along life's path at age 25 can hinder us at age 35. It's one thing to buy a \$25,000 starter and make a few bucks when the value goes up. It's another to trade up to an \$800,000 Beverly Hills shack. Maintaining and paying off the mortgage on an \$800,000 house does more than force you into a scheduled savings program. It can force you into living like the poor.

Many of us feel a need to own our homes. But let's not get carried away. Vicki and I own a modest apartment in Buenos Aires, Argentina; you'll read about it in chapter 5. It satisfies my emotional need until I can work through it. It's worth maybe \$20,000. I can afford a fuzzy blanket that costs \$20,000. You can afford it too. What you can't afford are mortgage bills so high that financial markets tremble when you're late with a payment.